



Asia Case
Research Centre
THE UNIVERSITY OF HONG KONG



SAY GOO

MANFOLD TOY COMPANY: CORPORATE GOVERNANCE AND ETHICS FOR DIRECTORS AND PROFESSIONALS

On the evening of 14 February 2007, Joseph Wan, founder and chairman of Manfold Toy Company Ltd (“Manfold Toy”), was preparing for an audit committee meeting, to be held on the following day. His hope was that the audit report would give a very positive picture of the company. This would pave the way for a takeover by Mitchell & Meyer, an American exercise equipment manufacturer interested in acquiring the listed bath and water toys producer. Joseph was anxious to sell his 68% stake in Manfold Toy and had been instrumental in soliciting the bid.

However, only a handful of people was aware that the audited accounts might not have taken into consideration some of the financial risks Manfold Toy was facing. Fred Wong, one of Manfold Toy’s independent non-executive directors (INED) and chairman of the company’s audit committee, was one of those people. In addition to his directorship at Manfold Toy, Fred was an INED at two other listed companies. He was also a director of On Yee Exports Ltd, a private company and Manfold Toy’s sole distributor in Australia & New Zealand. Fred heard a persistent rumour that On Yee Exports was on the brink of bankruptcy. When Fred informed Joseph about this threat on February 11th, Joseph’s reaction was to wave off Fred’s concern. Instead, he questioned whether Fred was forsaking his duty as a director of On Yee Exports by passing on this rumour.

With the audit committee meeting only one night away, both Joseph and Fred were feeling anxious. Joseph was keen to sell his company, whereas Fred was worried about the possible liability he might face if the true financial state of Manfold Toy became public knowledge. Fred wondered what he could have done otherwise in his position as INED and chairman of Manfold Toy’s audit committee. Had he fulfilled his role as a director according to the standards set by the Hong Kong Exchange? What position should he take in tomorrow’s meeting?

Jeroen van den Berg prepared this case under the supervision of Say Goo and based on the input of the ICAC and the members of the Organising Committee of Directors’ Ethics Training Programme.

© 2008 by The Asia Case Research Centre, The University of Hong Kong and the Independent Commission Against Corruption of the HKSAR. No part of this publication may be reproduced or transmitted in any form or by any means - electronic, mechanical, photocopying, recording, or otherwise (including the Internet) - without the permission of The University of Hong Kong.

Ref. 07/351C

Manfold Toy Company Ltd

Manfold Toy was founded in 1983 by Joseph Wan as a manufacturer of plastic bath and water toys. Headquartered in Hong Kong, Joseph took advantage of China's economic reforms and set up the company's manufacturing operations in Shenzhen, China. Initially, this gave the company a lower cost base than most of its competitors and, paired with Joseph's sales and marketing savvy, allowed the company to grow rapidly. In 1993, the factory moved from its original location into a 25,000 square metre facility in Shenzhen, China where it employed 900 workers up from 42 in 1983. During those 10 years, the company had significantly expanded its operations in Hong Kong from where it managed the non-manufacturing operations such as sales, marketing, distribution and accounting—employing 28 persons at its Hong Kong office

In 1998, the company took another big step when it obtained a licence to produce plastic airbeds inspired by a Hollywood blockbuster. The airbeds, which were based on vehicles from the film, were a huge success, generating HK\$42m in revenue for Manfold Toy in 2000, representing 12.3% of total revenues.¹ While the licence fees were high resulting in relatively low profit margins, the product gave the company access to new sales channels. Moreover, the success of the licence for both the licensor and the licensee led to further licences.

Manfold Toy was listed on the main board of the Hong Kong Exchange in March 2001. Its initial public offering was a success; it was oversubscribed 18.2 times and priced at HK\$7.22, the top of its price range. In June 2003, Joseph handed over daily management responsibilities to Daniel Kot after 20 years of leading the firm. Under Daniel's leadership, the firm launched a line of toys in 2004 which proved highly successful. The new line of toys was a series of plastic exercise toys for use in swimming pools, marketed as a fun way to help kids exercise and stay healthy. By the end of 2005, Manfold Toy was doing well. Total revenues for the year were HK\$918m, up from HK\$791m in 2004. The toy line generated 14.2% of revenue, 29% came from licensed products and the remainder came from their traditional bath and water toy lines. Manfold Toy's operating profit for the year was HK\$84.5m, up 11.4% from the previous year.

Sales Channels

Manfold Toy's products were sold globally, with most of its sales coming from developed countries where baths and pools were more prevalent. North America was its biggest market, and accounted for 52% of total sales. Other important markets included Europe, Australia and South America [see **Exhibit 1** for sales by geography]. For both the South American and Australian region as well as some minor countries, Manfold Toy worked with a sole distributor who had exclusive rights to distribute the company's products in those places. In other regions, products were sold directly to retailers. Besides mass merchants and specialty toy stores, the company sold its products to home and garden stores, specialised bath stores and stores that carried exercise equipment. There were also plans to set up an internet store and offer some products online.

Internal Control

Despite the fast-growing business of Manfold Toy, the management of the company paid little attention to the internal control aspects of its operations. Vivian Chen, Manfold Toy's company secretary, joined the firm in March 2005. Soon afterward, she alerted Daniel Kot to a new

¹ Manfold Toy's fiscal year runs from 1 January to 31 December.

corporate governance framework set by the Hong Kong Stock Exchange.² Having worked in other major listed companies' legal and compliance departments, Vivian wanted to benchmark these companies and adopt some of their internal control best practices. Daniel said that he would think about it but asked Vivian to see into the regulatory requirements set by the exchange first; however, this issue was never revisited. For their part, the board of directors saw the endorsement of the corporate governance reports as a formality and never raised any questions with regard to their content.

Key People

Board of Directors of Manfold Toy

Joseph Wan Choi-lon, Company Founder and Chairman of the Board

- Age 64, founded Manfold Toy in 1983
- Manfold Toy's biggest single shareholder, with 68% of outstanding shares
- Attended Prince College, one of Hong Kong's most prestigious secondary schools, before entering the Victoria University of Hong Kong to study economics. He was an avid car enthusiast and president of the German Automobile Owners' Association in Hong Kong. He was an active member of the Victoria University of Hong Kong's alumni organisation, an honorary advisor of the Prince College Old Boys Association and sat on the board of trustees of the We Care charity organisation.

Maggie Mok Su-yee, Director

- Age 45, joined the company in 1998
- Worked as a private banker before she started up her own firm, Big Capital Hong Kong Ltd
- Held 2.3% of Manfold Toy's outstanding shares
- Enjoyed ballroom dancing and was active in several charities.

Fred Wong Sau-lim, Independent Non-Executive Director, and Chairman of the Audit Committee

- Age 64, was appointed as an INED in 2001
- Was qualified as a certified public accountant ("CPA") by the Hong Kong Institute of Certified Public Accountants. Fred had over 15 years of accounting experience and was the chairman of Manywell Ltd, a family bottling company listed on the London Stock Exchange.
- Was a collector of vintage automobiles and the treasurer of the German Automobile Owners' Association in Hong Kong, where he became acquainted with Joseph Wan
- Served as a director of other private companies, including On Yee Exports, where he had been a director since 2000.

Sherona Leung Ka-yi, Independent Non-Executive Director, Chairman of the Remuneration Committee and Member of the Audit Committee

- Age 42, was appointed as an INED in 2003
- Studied economics at the Victoria University of Hong Kong and had decades of experience in commercial, financial and investment management in Hong Kong
- Enjoyed playing golf and travelling

² Under the framework, the board of directors of Manfold Toy would have to conduct an annual review of the effectiveness of the system of internal control on its financial, operational and compliance control and risk management functions and report to shareholders in the Corporate Governance Report. See Hong Kong Exchanges and Clearings Ltd, "Section C.2 of Code of Corporate Governance Practices, Appendix 14 of Listing Rules", http://www.hkex.com.hk/rule/listrules/Appendix_14.pdf (accessed 8 August 2007).

- President of We Care, a charity organisation that supported single mothers. The Wan family trust was the biggest contributor to We Care.

Matthew Ip Man-ching, Independent Non-Executive Director, Member of the Audit Committee and the Remuneration Committee

- Age 63, was appointed as an INED in 2001
- Was admitted to practice as a solicitor in Hong Kong and was a partner in a local law firm
- Was an INED at 15 listed companies in Hong Kong
- Enjoyed boating and was an executive member of the Prince College Old Boys Association.

Senior Executives of Manfold Toy

Daniel Kot Chun-li, Managing Director

- Age 46, joined the company in 1985 as an executive trainee and assistant to the chairman
- Held a degree in engineering from the Victoria University of Hong Kong as well as an MBA from the University of Pennsylvania
- Held 3.8% of the firm's outstanding shares
- Was an avid scuba diver.

Vivian Chen Wing-yi, Company Secretary

- Age 32, joined the company in 2005
- Held a law degree from the Victoria University of Hong Kong and was a member of the Hong Kong Institute of Chartered Secretaries
- Was the secretary of the WE Care charity organisation

Wu Jiaxiong, President of Mainland Operations

- Age 58, joined the company in 1989
- Previously worked for some of China's biggest state-owned chemical companies
- Was responsible for all facets of the company's engineering and manufacturing operations
- Held 0.7% percent of Manfold Toy's outstanding shares
- Enjoyed playing golf in his spare time.

External Auditor of Manfold Toy

Ken Tse Tai-ho, External Auditor

- Age 49, was a partner at an international audit firm
- Held a degree in accountancy from the University of Melbourne and was a chartered accountant with the Institute of Chartered Accountants of Australia as well as a CPA of the Hong Kong Institute of Certified Public Accountants
- Was the secretary of the Hong Kong German Automobile Organisation and was familiar with Joseph Wan
- Joseph Wan was the godfather of his son. In August 2006, Joseph sold a vintage car to Ken's son at a huge discount.

Name	Position at Manfold Toy	Wan Family	Victoria University of Hong Kong	Prince College	German Automobile Owners' Association	Hong Kong Highland Golf Club	We Care Charity
<i>Joseph Wan Choi-lon</i>	Chairman	✓	✓	✓	✓		✓
<i>Maggie Mok Su-yee</i>	Executive Director						✓
<i>Fred Wong Sau-lim</i>	Non-executive Director				✓		
<i>Sherona Leung Ka-yi</i>	Non-executive Director					✓	✓
<i>Matthew Ip Man-ching</i>	Non-executive Director		✓	✓			
<i>Daniel Kot Chun-li</i>	Managing Director		✓				
<i>Wu Jiaxiong</i>	President, China Operations	✓				✓	
<i>Vivian Chen Wing-yi</i>	Company Secretary		✓				✓
<i>Ken Tse Tai-ho</i>	External Auditor				✓		

Figure 1: Summary of Relations

The Bid for Manfold Toy

In May 2006, Joseph decided to sell the company he had founded. His only child, who was an accomplished architect, had made it clear he did not want to take over the family business at any point in the future. Manfold Toy had shown steady revenue growth since its listing and, with its exercise line, had created a new and innovative line of toys that had quickly become a major source of revenue for the company. Despite the fact that revenues were growing steadily, the company's market share was actually dropping in some core product lines. Initially, Manfold Toy had sought to combat this by lowering prices. This strategy backfired as competitors had lowered their prices in response and now not only was the company's market share decreasing, but its margins had fallen, too. Despite these setbacks, Joseph wanted to sell, but not at any price; he wanted the best possible price for his company and its shareholders.

Courting Mitchell & Meyer

Mitchell & Meyer, based in Springfield, Illinois and listed on the New York Stock Exchange, was one of the world's largest exercise equipment manufacturers. With the market for its products maturing, the company had been looking for new growth opportunities and launched a line of products aimed at fighting child obesity in 2005. Unlike Manfold Toy's exercise toys line, the performance of Mitchell's product line aimed at children had been disappointing. Mitchell's senior management blamed this lack of success on the company's brand image and sales channels.

During a business trip to the USA in June 2006, Joseph talked to the CEO of Mitchell & Meyer about a possible takeover of Manfold Toy during a golf game. The CEO showed an immediate interest. Manfold Toy's sales and distribution channels would give Mitchell access to new markets for its products. Furthermore, Mitchell had a strong online channel, something Manfold Toy lacked. Mitchell also saw opportunities to leverage off Manfold Toy's strong brands and licensing deals to sell products to young consumers. Lastly, Manfold Toy had a reputation for high quality products as did Mitchell & Meyer. However, Mitchell's CEO told Joseph that the board of directors of Mitchell would only be interested in the potential takeover if Manfold Toy

showed at least a 20% growth in the 2006 year-end audited report. The CEO added that Mitchell was interested in contracting Joseph to provide consultancy services to Mitchell at a one time fee of HK\$16 million in the event of a takeover.

Little did Joseph know that Mitchell's interest in acquiring Manfold Toy predated his business trip. Before Joseph's trip to the USA, the CEO of Mitchell had already approached a consultant firm, Big Capital, for updated information on Manfold Toy's business situation and the possibility of a takeover. Big Capital was owned by Maggie Mok, one of the executive directors of Manfold Toy. Big Capital was paid handsomely for their consulting work and were set to receive another HK\$20 million were they to advise a takeover of Manfold Toy by Mitchell. Maggie did not disclose her company's relation with Mitchell to Manfold Toy's board of directors.

Improving Manfold Toy's Financials

When Joseph returned to Hong Kong in June, he held an informal meeting with all the directors, including INEDs of the company, to inform them of his plan to retire and to sell the company by mid-2007.

After this announcement he convened separate meetings with his two most trusted lieutenants, Daniel Kot and Wu Jiaxiong. He informed them of his intention to sell the company in the first half of 2007 and the need to quickly improve their financials in order to command a better price for the company. Separately, Daniel was told that both Manfold Toy's market share as well as its margins should grow at a faster rate than those of any of its competitors. Jiaxiong was told that profits should be maximised and cost had to be decreased significantly in the coming months.

Both Daniel and Jiaxiong had worked closely with Joseph for around two decades. They respected him immensely for the guidance and trust he had given them over the years which had ultimately resulted in the two of them being put in charge of most of Manfold Toy's daily operations.

Jiaxiong's Plan

Wu Jiaxiong was proud of Manfold Toy's reputation for high quality products. This reputation had been achieved over the years by using the latest equipment and top-grade raw materials. The company had always kept its manufacturing equipment in superior shape and had adopted a replacement cycle that was shorter than those of most of its competitors. This was an area where Jiaxiong knew short-term savings could be made, delaying the replacement of aging machinery and cutting back on maintenance expenses.

When Jiaxiong went back to the factory on the mainland, he immediately talked to the production manager, Peter Lee, to discuss his ideas of cutting back on maintenance expenses and sourcing materials of lower quality. Peter said that he knew some suppliers who could supply cheap but lower grade material. Jiaxiong had heard from other staff members that Peter's relationship with some suppliers was far too intimate through casual nightclub entertainment. However, with Joseph's instructions in mind, he asked Peter to go ahead and make some recommendations to him.

Daniel's Plan

Daniel had to increase the company's sales but, in doing so, could not lower prices. Instead he chose to loosen the company's credit policy, extending long-term credit to their customers and signing secret side-agreements with their distributors in which Manfold Toy committed to

buying back any product that remained unsold after a 12-month period. In addition to existing distributors, the new credit policies also allowed Daniel to start selling Manfold Toy products to some Chinese trading companies who had never previously shown an interest in buying Manfold Toy's products.

A Trip to Thailand

In September 2006, Manfold Toy had a booth at the annual Toyfair in Phuket, Thailand. Manfold Toy had previously used the event to wine and dine its existing relations and forge new deals. This time around, Joseph invited Ken Tse to the event, promising to introduce him to a number of Manfold Toy's relations and opening the possibility for Ken to land a number of new accounts. At a private dinner, Joseph told Ken that he would need the year-end audit for Manfold Toy faster than usual. He added that if Ken could finish the audit within six weeks, he would not press for his usual 20% discount of the audit fee and would pay the full amount. Ken was slightly surprised by this request; yet, having known Joseph for a long time and knowing that his books had always been in order, he found it difficult to refuse, especially since the request would not be difficult for his auditing team to achieve.

Also at the event was Francis Yen, an analyst at a big regional investment bank. Daniel had arranged for Francis to come to the event with all expenses picked up by Manfold Toy. They went on several scuba trips together in which Daniel pressed Francis to release a report on Manfold Toy. Daniel's networking paid off and, three weeks after returning from Thailand, Francis's firm initiated coverage of Manfold Toy, rating the stock "outperform".

Before the Audit Committee Meeting to be Held on 15 February 2007

At a function for the German Automobile Owners' Organisation on Sunday, 11 February, Fred Wong, chairman of the audit committee, asked Joseph for a few minutes in private. In a one-on-one conversation, Fred told Joseph that he had heard a rumour that On Yee Exports, a private company and the sole distributor of Manfold Toy in Australia & New Zealand was close to bankruptcy. As sales to On Yee constituted around 18% of Manfold Toy's business, this would greatly affect Manfold Toy if the rumour turned out to be true. Joseph asked whether Fred was certain about the financial trouble of On Yee and if the company were really on the brink of bankruptcy; it would not be prudent to spread rumours without proof. Fred answered in the negative but said that Joseph might need to take it seriously. Instead, Joseph told Fred that he was not certain if Fred should really share this information with him as, in doing so, he might have compromised his duties as a director of On Yee and was possibly in breach of a number of guidelines and regulations.

In early February, when doing the year-end audit work for Manfold Toy, Ken stumbled across the relaxed credit policies and a disproportionate sales volume to Manfold Toy's mainland distributors. He also found it strange that maintenance costs for new machinery and expenses for raw materials were falling while production was increasing. He immediately contacted Joseph to ask for clarification. Joseph called him back the next day and said that he had checked with his company's senior management and assured him that everything was in order. Joseph promised to look into the matter again and inform Ken immediately if there was anything out of the ordinary. Joseph took the opportunity to remind Ken to finish the audit as soon as possible. Ken declined to pursue the issue further.

The auditing job, at a fee of HK\$1 million, was only part of the service Ken's company rendered to Manfold Toy. Ken's firm had also been doing tax work for Manfold Toy both on the

mainland and in Hong Kong at another HK\$1 million. Moreover, his firm had recently secured a HK\$3 million consultancy assignment related to Manfold Toy's new management information system. On a personal level, Joseph had recently done Ken's son a favour by selling a vintage car to him for a fraction of the real value.

Insider Dealing

In the months leading up to the buyout, Joseph pursued a strategy to ensure the sale of his company. What he was unaware of was that Matthew Ip, an INED and member of the audit and remuneration committees had indirectly profited from the bid by Mitchell & Meyer. Upon learning from Joseph of his plan to sell Manfold Toy, Matthew had told his wife about the impending takeover during dinner. Without consulting her husband, she had contacted her stockbroker the following day and ordered him to slowly start buying Manfold Toy stock. Over the months her shareholding had increased significantly and, on the day of the offer by Mitchell & Meyer, her profit added up to just over HK\$12 million on paper.

The Meeting of the Audit Committee

On 18 February 2007, the audit committee of Manfold Toy convened to review the company's financials. Present at the meeting were all INEDs of the committee, Joseph Wan, Daniel Kot, Wu Jiaxiong, Ken Tse, the external auditor, and Vivien Chen, the company secretary.

On the day of the audit committee meeting, Matthew Ip, who sits on the boards of 15 listed companies, had told Fred that he hoped that the meeting would be short, as he needed to attend the board meeting of another listed company immediately afterwards. He added that what would be discussed and decided at the meeting were merely formalities.

In the meeting, the audited accounts for fiscal year 2006³ were to be presented for approval. The accounts showed significant revenue and profit growth when compared to those of 2005. All this growth could be attributed to the company's stellar performance in the second half of 2006.

Joseph started the meeting by addressing everyone present and praising both Daniel and Jiaxiong for the company's impressive results. Sherona Leung, INED and chairman of the remuneration committee, congratulated Daniel and Jiaxiong for their good management and asked them if the changed credit policy had increased the company's risk, which both denied. Moreover, she wished to know if they believed that this growth was sustainable, which both confirmed.

The accounts had received an unqualified opinion from the external auditor and were unanimously approved by the members of the audit committee

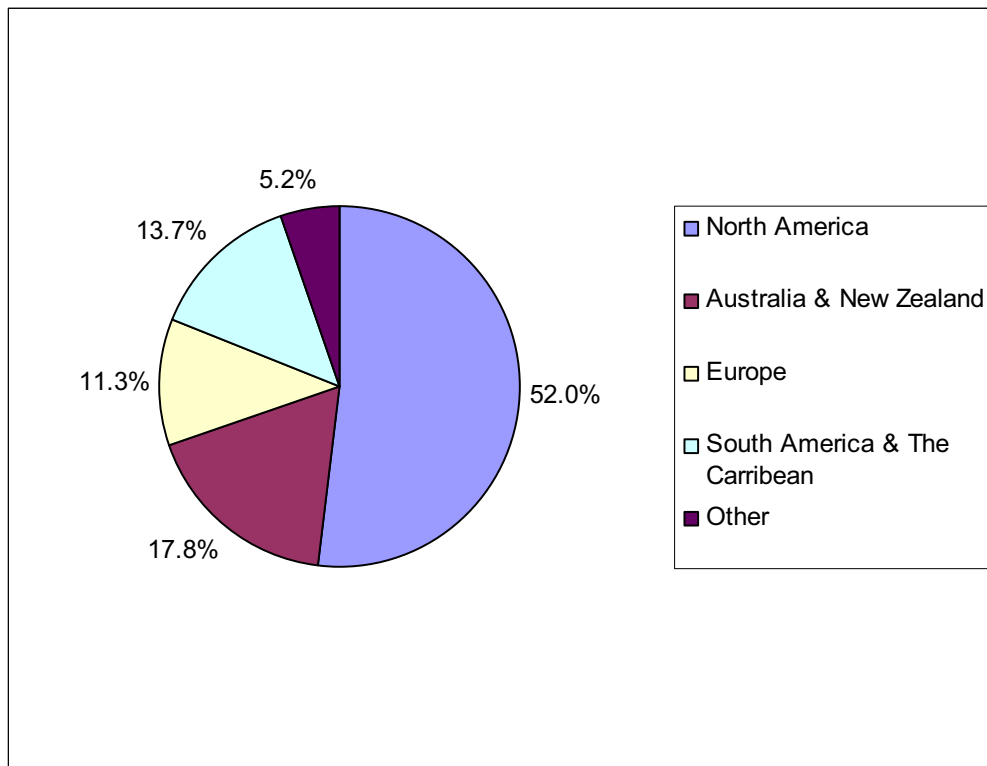
Conclusion

Joseph had succeeded in boosting the sales volume of Manfold Toy and dramatically improving the financials of the company. He was sure that Mitchell & Meyer would make an attractive bid for Manfold Toy shares and, as long as 90% of the shareholders accepted the offer, the company would be sold. Retirement was near and Joseph could look forward to having more time for his family and hobbies.

³ Manfold Toy's fiscal year ran from January 1st to December 31st.

Fred, on the other hand, did not feel so upbeat. He knew the audited accounts painted a rosier picture than was actually the case. He feared for his reputation and wondered if there would be any threat to his position as chairman of his family business or his other directorships once the truth about Manfold Toy's financial status became public. Was there any way he could redeem himself?

How about the other players involved in the deal? Had they acted legally and ethically? Were there any possible legal or professional repercussions that could follow as a result of their behaviour? What corporate governance mechanisms could be put into place to protect them against the activities that had transpired at Manfold Toy? These were some of the questions that would follow the parties involved and the investor community as a whole in the aftermath of the deal.

EXHIBIT 1: MANFOLD TOY SALES BY GEOGRAPHY

**APPENDIX 1: HONG KONG EXCHANGES AND CLEARING LTD
EXCERPT FROM THE LISTING RULES REGARDING DIRECTOR RESPONSIBILITIES**

The board of directors of a listed issuer is collectively responsible for the management and operations of the listed issuer. The Exchange expects the directors, both collectively and individually, to fulfil fiduciary duties and duties of skill, care and diligence to a standard at least commensurate with the standard established by Hong Kong law. This means that every director must, in the performance of his duties as a director:

- (a) act honestly and in good faith in the interests of the company as a whole;
- (b) act for proper purpose;
- (c) be answerable to the listed issuer for the application or misapplication of its assets;
- (d) avoid actual and potential conflicts of interest and duty;
- (e) disclose fully and fairly his interests in contracts with the listed issuer; and
- (f) apply such degree of skill, care and diligence as may reasonably be expected of a person of his knowledge and experience and holding his office within the listed issuer.

Source: HKEX Listing Rules, Rule 3.08,
[http://www.hkex.com.hk/rule/listrules/MB%20Chapter%203%20\(E\).pdf](http://www.hkex.com.hk/rule/listrules/MB%20Chapter%203%20(E).pdf) (accessed 23 November 2007)

Additional information:

You may also refer to the following related documents:

- Appendix 14 – Code on Corporate Governance Practices, Listing Rules (Main Board)
(available on: http://www.hkex.com.hk/rule/listrules/Appendix_14.pdf) (accessed 23 November 2007)
- Appendix 23 – Corporate Governance Report, Listing Rules (Main Board)
(available on: [http://www.hkex.com.hk/rule/listrules/MB%20App%2023%20\(E\).pdf](http://www.hkex.com.hk/rule/listrules/MB%20App%2023%20(E).pdf))
(accessed 23 November 2007)

APPENDIX 2: SECURITIES AND FUTURES COMMISSION – EXCERPT FROM CODE OF CONDUCT FOR LICENSED PERSONS

General principles (selection)

GP1. Honesty and Fairness

In conducting its business activities, a licensed or registered person should act honestly, fairly, and in the best interests of its clients and the integrity of the market.

GP2. Diligence

In conducting its business activities, a licensed or registered person should act with due skill, care and diligence, in the best interests of its clients and the integrity of the market.

GP3. Capabilities

A licensed or registered person should have and employ effectively the resources and procedures which are needed for the proper performance of its business activities.

GP4. Information about clients

A licensed or registered person should seek from its clients information about their financial situation, investment experience and investment objectives relevant to the services to be provided.

GP5. Information for clients

A licensed or registered person should make adequate disclosure of relevant material information in its dealings with its clients.

GP6. Conflicts of interest

A licensed or registered person should try to avoid conflicts of interest, and when they cannot be avoided, should ensure that its clients are fairly treated.

GP7. Compliance

A licensed or registered person should comply with all regulatory requirements applicable to the conduct of its business activities so as to promote the best interests of clients and the integrity of the market.

Source: Securities and Futures Commission,
<http://www.sfc.hk/sfcRegulatoryHandbook/EN/displayFileServlet?docno=H459> (accessed 23 November 2007)

Additional information:

You may also refer to the following related legislation:

- The Securities and Futures Ordinance (Cap 571) is available on the Bilingual Law Information System: <http://www.legislation.gov.hk/eng/home.htm> (accessed 23 November 2007)

APPENDIX 3: HONG KONG INSTITUTE OF CERTIFIED PUBLIC ACCOUNTANTS – EXCERPT FROM CODE OF ETHICS

A professional accountant is required to comply with the following fundamental principles:

(a) Integrity

A professional accountant should be straightforward and honest in all professional and business relationships.

(b) Objectivity

A professional accountant should not allow bias, conflict of interest or undue influence of others to override professional or business judgments.

(c) Professional Competence and Due Care

A professional accountant has a continuing duty to maintain professional knowledge and skill at the level required to ensure that a client or employer receives competent professional service based on current developments in practice, legislation and techniques. A professional accountant should act diligently and in accordance with applicable technical and professional standards when providing professional services.

(d) Confidentiality

A professional accountant should respect the confidentiality of information acquired as a result of professional and business relationships and should not disclose any such information to third parties without proper and specific authority unless there is a legal or professional right or duty to disclose. Confidential information acquired as a result of professional and business relationships should not be used for the personal advantage of the professional accountant or third parties.

(e) Professional Behaviour

A professional accountant should comply with relevant laws and regulations and should avoid any action that discredits the profession.

Conceptual Framework Approach

100.5 The circumstances in which professional accountants operate may give rise to specific threats to compliance with the fundamental principles. It is impossible to define every situation that creates such threats and specify the appropriate mitigating action. In addition, the nature of engagements and work assignments may differ and consequently different threats may exist, requiring the application of different safeguards. A conceptual framework that requires a professional accountant to identify, evaluate and address threats to compliance with the fundamental principles, rather than merely comply with a set of specific rules which may be arbitrary, is, therefore, in the public interest. This Code provides a framework to assist a professional accountant to identify, evaluate and respond to threats to compliance with the fundamental principles. If identified threats are other than clearly insignificant, a professional accountant should, where appropriate, apply safeguards to eliminate the threats or reduce them to an acceptable level, such that compliance with the fundamental principles is not compromised.

100.6 A professional accountant has an obligation to evaluate any threats to compliance with the fundamental principles when the professional accountant knows, or could reasonably be expected to know, of circumstances or relationships that may compromise compliance with the fundamental principles.

- 100.7 A professional accountant should take qualitative as well as quantitative factors into account when considering the significance of a threat. If a professional accountant cannot implement appropriate safeguards, the professional accountant should decline or discontinue the specific professional service involved, or where necessary resign from the client (in the case of a professional accountant in public practice) or the employing organization (in the case of a professional accountant in business).
- 100.8 A professional accountant may inadvertently violate a provision of this Code. Such an inadvertent violation, depending on the nature and significance of the matter, may not compromise compliance with the fundamental principles provided, once the violation is discovered, the violation is corrected promptly and any necessary safeguards are applied.

Source: Hong Kong Institute of Certified Public Accountants (2006) “Code of Ethics for Professional Accountants”,
http://www.hkicpa.org.hk/ebook/HKSA_Members_Handbook_Master/volumeI/COE.pdf
(accessed 23 November 2007)

**APPENDIX 4: ESSENTIAL RESPONSIBILITIES AND DUTIES EXPECTED FROM
MEMBERS OF THE HONG KONG INSTITUTE OF COMPANY SECRETARIES WHO
ARE MEMBERS OF LISTED COMPANIES**

Members shall observe the highest standards of professional conduct and ethical behaviour in all their work, to support the Institute's mission in promoting good corporate governance and to abide by the letter and spirit of the Institute's Memorandum and Articles of Association, together with any codes or bye-laws made thereto.

Members shall:

exercise complete integrity, honesty, diligence and due care in carrying out and performing their duties and responsibilities;

safeguard the legitimate interest of their employers and clients; and

ensure that they have the required knowledge, skill and technical competence to perform the duties expected from them.

Members shall not:

enter into any agreement or undertake any activity which may be in conflict with the legitimate interest of their employers or clients, or which may prejudice the proper performance of their duties.

use confidential information obtained in the performance of their duties for any personal gain or in a manner which would be illegal, or inconsistent with or detrimental to the interest of their employers or clients;

knowingly be a party to any illegal or unethical activity; or

behave or conduct themselves in any manner which detracts or may detract from the reputation of the institute.

Source: Hong Kong Institute of Company Secretaries

**APPENDIX 5: EXTRACTS FROM THE PREVENTION OF BRIBERY ORDINANCE
(LAWS OF HONG KONG CAP. 201)**

Section 9 Corrupt transaction with agents

- (1) Any agent who, without lawful authority or reasonable excuse, solicits or accepts any advantage as an inducement to or reward for or otherwise on account of his-
 - (a) doing or forbearing to do, or having done or forborne to do, any act in relation to his principal's affairs or business; or
 - (b) showing or forbearing to show, or having shown or forborne to show, favour or disfavour to any person in relation to his principal's affairs or business, shall be guilty of an offence.
- (2) Any person who, without lawful authority or reasonable excuse, offers any advantage to any agent as an inducement to or reward for or otherwise on account of the agent's-
 - (a) doing or forbearing to do, or having done or forborne to do, any act in relation to his principal's affairs or business; or
 - (b) showing or forbearing to show, or having shown or forborne to show, favour or disfavour to any person in relation to his principal's affairs or business, shall be guilty of an offence.
- (3) Any agent who, with intent to deceive his principal, uses any receipt, account or other document-
 - (a) in respect of which the principal is interested; and
 - (b) which contains any statement which is false or erroneous or defective in any material particular; and
 - (c) which to his knowledge is intended to mislead the principal, shall be guilty of an offence.
- (4) If an agent solicits or accepts an advantage with the permission of his principal, being permission which complies with subsection (5), neither he nor the person who offered the advantage shall be guilty of an offence under subsection (1) or (2).
- (5) For the purposes of subsection (4) permission shall-
 - (a) be given before the advantage is offered, solicited or accepted; or
 - (b) in any case where an advantage has been offered or accepted without prior permission, be applied for and given as soon as reasonably possible after such offer or acceptance, and for such permission to be effective for the purposes of subsection (4), the principal shall, before giving such permission, have regard to the circumstances in which it is sought.

Section 11 Giver and acceptor of bribe to be guilty notwithstanding that purpose not carried out, etc.

- (1) If, in any proceedings for an offence under any section in this Part, it is proved that the accused accepted any advantage, believing or suspecting or having grounds to believe or suspect that the advantage was given as an inducement to or reward for or otherwise on account of his doing or forbearing to do or having done or forborne to do, any act referred to in that section, it shall be no defence that –
 - (a) he did not actually have the power, right or opportunity so to do or forbear;
 - (b) he accepted the advantage without intending so to do or forbear; or
 - (c) he did not in fact so do or forbear.

- (2) If, in any proceedings for an offence under any section in this Part, it is proved that the accused offered any advantage to any other person as an inducement to or reward for or otherwise on account of that other person's doing or forbearing to do, or having done or forborne to do, any act referred to in that section, believing or suspecting or having reason to believe or suspect that such other person had the power, right or opportunity so to do or forbear, it shall be no defence that such other person had no such power, right or opportunity.

Section 19 Custom not to be a defence

In any proceedings for an offence under this Ordinance, it shall not be a defence to show that any such advantage as is mentioned in this Ordinance is customary in any profession, trade, vocation or calling.

Section 2 Interpretation

'Advantage' means:

- (a) any gift, loan, fee, reward or commission consisting of money or of any valuable security or of other property or interest in property of any description;
- (b) any office, employment or contract;
- (c) any payment, release, discharge or liquidation of any loan, obligation or other liability, whether in whole or in part;
- (d) any other service, or favour (other than entertainment), including protection from any penalty or disability incurred or apprehended or from any action or proceedings of a disciplinary, civil or criminal nature, whether or not already instituted;
- (e) the exercise or forbearance from the exercise of any right or any power or duty; and
- (f) any offer, undertaking or promise, whether conditional or unconditional, of any advantage within the meaning of any of the preceding paragraphs (a), (b), (c), (d) and (e),

but does not include an election donation within the meaning of the Elections (Corrupt and Illegal Conduct) Ordinance (Cap 554), particulars of which are included in an election return in accordance with that Ordinance.

'Entertainment' means:

The provision of food or drink, for consumption on the occasion when it is provided, and of any other entertainment connected with, or provided at the same time as, such provisions.

APPENDIX 6: NON-STATUTORY GUIDELINES ON DIRECTORS' DUTIES

Introduction

In general the responsibilities and liabilities of directors derive from various sources, including the constitution of the company, case law and statute law. If a person does not comply with his duties as a director he may be liable to civil or criminal proceedings and may be disqualified from acting as a director.

Although case law sets out and elaborates on most of these significant principles, it tends to be complex and inaccessible. The objective of these guidelines is to outline the general principles for a director in the performance of his functions and exercise of his powers.

All directors should read these guidelines which are also readily accessible on the websites of the Companies Registry, the Hong Kong Exchanges and Clearing Limited, the Securities and Futures Commission, the Official Receiver's Office and the Hong Kong Monetary Authority. Hard copies are also available at their offices.

Companies should give a copy of these guidelines to new directors irrespective of whether they organize induction training for directors. In addition, directors are also encouraged to refer to more detailed reviews of the role and duties of directors in law. For example, the Hong Kong Institute of Directors has issued the Guidelines for Directors (2005) and the Guidelines for Independent Non-Executive Directors (2003). Directors should also refer to the Code on Corporate Governance Practices issued by the Hong Kong Exchanges and Clearing Limited to improve the manner in which listed companies are managed.

It is important to note that the statements in these guidelines are principles only and are not intended to be exhaustive statements of the law. Furthermore, statute or case law could require certain forms of conduct under specified circumstances. If directors are at all in doubt about the nature of their responsibilities and obligations, they should seek legal advice.

The general principles of directors' duties

Principle 1: Duty to act in good faith for the benefit of the company as a whole

A director of a company must act in good faith in the best interests of the company. This means that a director owes a duty to act in the interests of all its shareholders, present and future. In carrying out this duty, a director must (as far as practicable) have regard to the need to achieve outcomes that are fair as between its members.

Principle 2: Duty to use powers for a proper purpose for the benefit of members as a whole

A director of a company must exercise his powers for a "proper purpose". This means that he must not exercise his powers for purposes that are different from purposes for which they were conferred. The primary and substantial purpose of the exercise of a director's powers must be for the benefit of the company. If the primary motive is found to be for some other reasons (e.g. to benefit one or more directors and to gain control of the company), then the effects of his exercise of his power may be set aside. This duty can be breached even if he has acted in good faith.

Principle 3: Duty not to delegate powers except with proper authorization and duty to exercise independent judgement

Except where authorised to do so by the company's memorandum and articles of association

(the “constitution”) or any resolution, a director of a company must not delegate any of his powers. He must exercise independent judgement in relation to any exercise of his powers.

Principle 4: Duty to exercise care, skill and diligence

A director of a company must exercise the care, skill and diligence that would be exercised by a reasonable person with the knowledge, skill and experience reasonably expected of a director in his position. In determining whether he has fulfilled this duty, the court will also consider whether he has exercised the care, skill and diligence that would be exercised by a reasonable person with any additional knowledge, skill and experience which he has.

Principle 5: Duty to avoid conflicts between personal interests and interests of the company

A director of a company must not allow personal interests to conflict with the interests of the company.

Principle 6: Duty not to enter into transactions in which the directors have an interest except in compliance with the requirements of the law

A director of a company has certain duties where he has a material interest in any transaction to which the company is, or may be, a party. Until he has complied with these duties, he must not, in the performance of his functions as a director, authorise, procure or permit the company to enter into a transaction. Furthermore, he must not enter into a transaction with the company, unless he has complied with the requirements of the law.

The law requires a director to disclose the nature of his interest in respect of such transactions. Under certain circumstances the constitution may prescribe procedures to secure the approval of directors or members in respect of proposed transactions. A director must disclose the relevant interest to the extent required. Where applicable, he must secure the requisite approval of other directors or members.

Principle 7: Duty not to gain advantage from use of position as a director

A director of a company must not use his position as a director to gain (directly or indirectly) an advantage for himself, or someone else, or which causes detriment to the company.

Principle 8: Duty not to make unauthorised use of company’s property or information

A director of a company must not use the company’s property or information, or any opportunity that presents itself to the company, of which he becomes aware as a director of the company. This is except where the use or benefit has been disclosed to the company in general meeting and the company has consented to it.

Principle 9: Duty not to accept personal benefit from third parties conferred because of position as a director

A director or former director of a company must not accept any benefit from a third party, which is conferred because of the powers he has as director or by way of reward for any exercise of his powers as a director. This is unless the company itself confers the benefit, or the company has consented to it by ordinary resolution, or where the benefit is necessarily incidental to the proper performance of any of his functions as director.

Principle 10: Duty to observe the company’s memorandum and articles of association and resolutions

A director of a company must act in accordance with the company’s constitution. He must also comply with resolutions that are made in accordance with the company’s constitution.

Principle 11: Duty to keep proper books of account

A director of a company must take all reasonable steps to ensure that proper books of account

are kept so as to give a true and fair view of the state of affairs of the company and explain its transactions. To avoid breaching the fraudulent trading provisions in section 275 of the Companies Ordinance (Cap. 32), a director must not allow the company to incur further credit knowing that there is no reasonable prospect of avoiding insolvency.

Source: Hong Kong SAR Companies Registry